

# 1.1 Phases of Market Cycle

Markets do not move in a straight line, but rather fluctuate constantly. Depending on valuations, market sentiments, and a variety of economic factors, markets operate in four phases.



- Operates around the Bottom
- Smart Money starts Accumulating
- Valuation Driven Market

## Accumulation



- Prices Increases
- Different Investors jump in at different stage
- Market enters Bull phase.

## Mark-Up



## Decline



- Prices fall
- Panic selling and Fear among security holders
- Market enters bearish stage

## Distribution



- Around the Top
- Smart Money starts selling and common public starts buying
- Excitement Driven Market

Lets understand this in greater detail.